Type MS · Defining capital and revenue expenditure

Answer 1 of 11 · Question 17 part a.ii · 2 marks

2025 NOV · Paper 01 · extract 1 of 2 · find part a.ii in this mark scheme extract

17(a)(i)	**Award 1 mark for identification and 1 mark for linked development.** The purchase or improvement of a **non-current asset (1)** with the benefit expected to last **more than one year** / appears on the **statement of financial position (1).**	**(2)**

Question Number	Answer	Mark
17(a)(ii)	**Award 1 mark for identification and 1 mark for linked development.** The **day-to-day running costs** of the business **(1)** with the benefit expected to last **less than one year** / appears on the **income statement (1).**	**(2)**

Question Number	Answer	Mark
17(b)(i)	**Award mark as indicated.** $46 400 **(1)**	**(1)**

Question Number	Answer	Mark
17(b)(ii)	**Award mark as indicated.** $2 300 **(1)**	**(1)**

Question Number	Answer	Mark
17(b)(iii)	**Award mark as indicated.** Overstated: Understated: No effect: ✓ **(1)**	**(1)**

Type MS · Defining capital and revenue expenditure

Answer 1 of 11 · Question 17 part a.ii · 2 marks

2025 NOV · Paper 01 · extract 2 of 2 · find part a.ii in this mark scheme extract

Question Number	Answer	Mark
17(c)(i)	**Award mark as indicated.** $23 360 **(1)**	**(1)**

Question Number	Answer	Mark
17(c)(ii)	**Award marks for correct details and amounts in combination.**	**(7)**

Disposal Account

Date	Details	$	Date	Details	$
2024 Aug 1	Machinery cost	36 500 (1)	2024 Aug 1	Machinery provision for depreciation	13 140 (2/1of)
2025 Jun 30	Income statement	1 240 (2/1of)		Cash book /Bank	8 200 (1)
				(Gerhardt) loan	16 400 (1)
		37 740			37 740

TOTAL FOR QUESTION 17 = 15 MARKS

Type MS · Defining capital and revenue expenditure

Answer 2 of 11 · Question 16 part a · 2 marks

2019 JUN · Paper 01 · extract 1 of 2 · find part a in this mark scheme extract

16(a)	**Award up to 2 marks for the correct difference.** Capital expenditure generates benefit for longer than one year **(1)** whereas revenue expenditure generates benefit for shorter than one year **(1)**. **OR** Capital expenditure is shown in the statement of financial position **(1)** whereas revenue expenditure is shown in the income statement **(1)**.	**(2)**

Question number	Answer	Mark
16(b)	**Award 1 mark for each concept up to maximum of 2 marks.** Accruals/matching **(1).** Consistency **(1)**. Prudence **(1)**.	**(2)**

Question number	Answer	Mark
16(c)	**Award 1 mark as indicated up to a maximum of 3 marks.** Wear and tear **(1)** Obsolescence **(1)** Passage of time **(1)** Depletion **(1)**	**(3)**

Type MS · Defining capital and revenue expenditure

Answer 2 of 11 · Question 16 part a · 2 marks

2019 JUN · Paper 01 · extract 2 of 2 · find part a in this mark scheme extract

Question number	Answer	Mark
16(d)	**Award 1 mark for correct amount.** **Award 1 mark for all correct dates and details.** **Provision for Depreciation - Motor Vehicles Account**	(4)

Date	Details	$	Date	Details	$
1 January 2019	Disposal	10 000 **(1)**	1 April 2018	Balance b/d	20 000
31 March 2019	Balance c/d	18 000	31 March 2019	Income statement	8 000 **(1 of)**
		28 000			28 000
			1 April 2019	Balance b/d	18 000 **(1 of)**

Question number	Answer	Mark
16(e)	**Award 1 mark for correct amount.** **Award 1 mark for all correct dates and details.** **Disposal Account**	(4)

Date	Details	$	Date	Details	$
1 January 2019	Motor vehicle	50 000 **(1)**	1 January 2019	Provision for depreciation	10 000 **(1)**
				Cash book-(Bank)	35 500
			31 March 2019	Income statement	4 500 **(1 of)**
		50 000			50 000

TOTAL FOR QUESTION 16 = 15 MARKS

Type MS · Defining capital and revenue expenditure

Answer 3 of 11 · Question 18 part a · 4 marks

2021 JUN · Paper 01 · extract 1 of 2 · find part a in this mark scheme extract

18(a)	**Award marks as indicated.** Capital expenditure is the purchase or improvement of non-current assets **(1)** whereas revenue expenditure is the day-to-day running costs of the business **(1)** The benefit from capital expenditure is expected to last for more than one year **(1)** whereas the benefit from revenue expenditure is expected to last for less than one year **(1).** **Accept any other appropriate responses.**	**(4)**

Question Number	Answer	Mark
18(b)	**Award marks as indicated. (Maximum 2 marks).** Wear and tear Obsolescence Economic factors Time factor Usage Technological change	**(2)**

Question Number	Answer	Mark
18(c)	**Award 1 mark as indicated** Accruals **(1)** or Prudence **(1)** or Consistency **(1)**	**(1)**

Question Number	Answer	Mark
18(d) (i)	**Award marks as indicated** $30 720 **(2) or** $38 400 **(1)**	**(2)**

Type MS · Defining capital and revenue expenditure

Answer 3 of 11 · Question 18 part a · 4 marks

2021 JUN · Paper 01 · extract 2 of 2 · find part a in this mark scheme extract

Question Number	Answer	Mark
18(d)(ii)	**Award 1 mark for each figure as indicated.** **Award 1 mark for all correct dates and details.**	**(6)**

Motor Vehicle Disposal Account

Date	Details	$	Date	Details	$
Dec 1 2020	Motor vehicle	48 000 **(1)**	Dec 1 2020	Provision for depreciation	17 280 **(1of)**
				Cash book/ bank	14 000 **(1)**
				Bilal	14 000 **(1)**
			Jan 31 2021	Income statement	2 720 **(1of)**
		48 000			48 000

TOTAL FOR QUESTION 18= 15 MARKS

Type MS · Defining capital and revenue expenditure

Answer 4 of 11 · Question 17 part a · 2 marks

2022 JUN · Paper 01 (regional R) · extract 1 of 3 · find part a in this mark scheme extract

17(a)	**Award marks as indicated.** Capital expenditure is expected to benefit the business for more than one accounting period **(1)** whereas revenue expenditure is expected to benefit the current financial period only **(1).** Capital expenditure is charged to the statement of financial position **(1)** whereas revenue expenditure is charged to the income statement **(1)** Capital expenditure is expenditure on acquiring or improving non-current assets **(1)** whereas revenue expenditure is payment of day-to-day expenses **(1).** **Accept any other appropriate responses.**	**(2)**

Type MS · Defining capital and revenue expenditure

Answer 4 of 11 · Question 17 part a · 2 marks

2022 JUN · Paper 01 (regional R) · extract 2 of 3 · find part a in this mark scheme extract

<table>
<tr><th>Question number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>17(b)</td><td>Award marks as indicated.
<table>
<tr><th></th><th>Capital expenditure</th><th>Revenue expenditure</th></tr>
<tr><td>Install shelving in van</td><td>✓ (1)</td><td></td></tr>
<tr><td>Motor insurance</td><td></td><td>✓ (1)</td></tr>
<tr><td>Signwriting on van</td><td>✓ (1)</td><td></td></tr>
</table></td><td>(3)</td></tr>
</table>

Type MS · Defining capital and revenue expenditure

Answer 4 of 11 · Question 17 part a · 2 marks

2022 JUN · Paper 01 (regional R) · extract 3 of 3 · find part a in this mark scheme extract

Question number	Answer	Mark
17(c)	**Award 1 mark for each correct figure as indicated plus 1 mark for all correct dates and details.**	(10)

Motor Vans - Cost Account

Date	Details	$	Date	Details	$
2021 Feb 1	Balance b/d	146 000 **(1)**	2021 Aug 1	Asset disposal	36 000 **(1)**
Sep 1	Cash book/bank	49 000 **(1)**	2022 Jan 31	Balance c/d	159 000
		195 000			195 000
2022 Feb 1	Balance b/d	159 000 **(1of)**			

Asset Disposal Account

Date	Details	$	Date	Details	$
2021 Aug 1	Motor vans cost	36 000 **(1)**	2021 Aug 1	Motor vans prov for depreciation	12 960 **(2/1of)**
2022 Jan 31	Income statement	1 960 **(1of)**		Cash book/bank	25 000 **(1)**
		37 960			37 960

TOTAL FOR QUESTION 17 = 15 MARKS

Type MS · Defining capital and revenue expenditure

Answer 5 of 11 · Question 17 part b · 2 marks

2022 JUN · Paper 01 · extract 1 of 3 · find part b in this mark scheme extract

17(a)	**Award marks as indicated** Wear and tear **(1)** Obsolescence **(1)** Usage **(1)** Technological change **(1)** Depletion **(1)** Time factor**(1)** Economic factors **(1)** **Max 2 marks**	**(2)**

Question number	Answer	Mark
17(b)	**Award marks as indicated** Capital expenditure is charged to the statement of financial position **(1)** whereas revenue expenditure is charged to the income statement **(1)** Capital expenditure is expenditure on acquiring or improving non-current assets **(1)** whereas revenue expenditure is payment of day-to-day expenses **(1).** **Accept any other appropriate response**	**(2)**

Type MS · Defining capital and revenue expenditure

Answer 5 of 11 · Question 17 part b · 2 marks

2022 JUN · Paper 01 · extract 2 of 3 · find part b in this mark scheme extract

Question number	Answer	Mark
17(c)	**Award marks as indicated.** **Capital expenditure** / **Revenue expenditure** Delivery cost: ✓ **(1)** / Motor insurance: / ✓ **(1)**	**(2)**

Question number	Answer	Mark
17(d)	**Award 1 mark as indicated.** $15 360 **(1)**	**(1)**

Question number	Answer	Mark
17(e)	**Award marks for correct dates, details and amounts as indicated.** **Provision for Depreciation – Motor Vehicles Account**	**(4)**

Date	Details	$	Date	Details	$
2020 June 30	Disposal	14 640 **(1of)**	2021 Apr 1	Balance b/d	18 240 **(1)**
Mar 31	Balance c/d	10 480	Mar 31	Income statement	6 880 **(1)**
		25 120			25 120
			Apr 1	Balance b/d	10 480 **(1of)**

Type MS · Defining capital and revenue expenditure

Answer 5 of 11 · Question 17 part b · 2 marks

2022 JUN · Paper 01 · extract 3 of 3 · find part b in this mark scheme extract

<table>
<tr><th>Question number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>17(f)</td><td>
Award marks for correct dates, details and amounts as indicated.

Asset Disposal Account
<table>
<tr><th>Date</th><th>Details</th><th>$</th><th>Date</th><th>Details</th><th>$</th></tr>
<tr><td>2021
Jun 30</td><td>Motor vehicle – cost</td><td>30 000
(1)</td><td>2021
Jun 30</td><td>Motor vehicle – provision for depreciation</td><td>14 640
(1of)</td></tr>
<tr><td>2022
Mar 31</td><td>Income statement</td><td>1 040
(1of)</td><td>Jun 30</td><td>Cash book / bank</td><td>16 400
(1)</td></tr>
<tr><td></td><td></td><td>31 040</td><td></td><td></td><td>31 040</td></tr>
</table>
</td><td>(4)</td></tr>
</table>

Total for Question 17 = 15 marks

Type MS · Defining capital and revenue expenditure

Answer 6 of 11 · Question 17 part b · 4 marks

2023 JAN · Paper 01 · extract 1 of 2 · find part b in this mark scheme extract

17(a)

Award marks for correct details and amounts in combination

Computer Equipment – Provision for Depreciation Account

Date	Details	$	Date	Details	$
2022 May 1	Disposal	1 440 **(1)**	2021 Sept 1	Balance b/d	9 200 **(1)**
Aug 31	Balance c/d	10 400	2022 Aug 31	Income statement	2 640 **(1)**
		11 840			11 840
			Sept 1	Balance b/d	10 400 **(1of)**

Disposal Account

Date	Details	$	Date	Details	$
2022 May 1	Computer Equipment – cost	3 600 **(1)**	2022 May 1	Provision for depreciation	1 440 **(1of)**
			May 1	Cash book / bank	1 950 **(1)**
			Aug 31	Income statement **(1)**	210 **(1of)**
		3 600			3 600

(9)

Type MS · Defining capital and revenue expenditure

Answer 6 of 11 · Question 17 part b · 4 marks

2023 JAN · Paper 01 · extract 2 of 2 · find part b in this mark scheme extract

<table>
<tr><th>Question number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>17(b)</td><td>Award Marks as indicated
<table>
<tr><th>Term</th><th>Definition</th><th>Exam</th></tr>
<tr><td>Capital expenditure</td><td>Expenditure on non-current assets/ intended to last for more than one financial year (1)</td><td>Motor vehi</td></tr>
<tr><td>Revenue expenditure</td><td>Expenditure on day-to-day running costs/ intended to benefit the current financial year only (1)</td><td>Maintenan</td></tr>
</table>
Accept any other appropriate responses</td><td>(4)</td></tr>
</table>

<table>
<tr><th>Question number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>17(c)</td><td>Award marks as indicated. Max 2 marks.

• Firewall (1)
• Anti-spyware software (1)
• Anti-virus software (1)
• Passwords (1)

Accept any other appropriate responses</td><td>(2)</td></tr>
</table>

Total for Question 17 = 15 marks

Type MS · Defining capital and revenue expenditure

Answer 7 of 11 · Question 18 part b · 4 marks

2024 JUN · Paper 01 (regional R) · extract 1 of 2 · find part b in this mark scheme extract

18(a)	**Award 1 mark for each correct reason up to max 2 marks.** Wear and tear **(1)** Depletion **(1)** Obsolescence **(1)** Passage of time **(1)**	**(2)**

Question Number	Answer	Mark
18(b)	**Award up to two marks for each explanation** **Capital expenditure** is money spent on the purchase or improvement of non-current assets **(1)** which are purchased by the business for long term use. **(1)** **Revenue expenditure** is money spent on the day to day running of a business **(1)** which benefits the business in the short term. **(1)** **Accept any other appropriate responses**	**(4)**

Question Number	Answer	Mark
18(c)(i)	**Award mark as indicated.** $4 000 **(1)**	**(1)**

Question Number	Answer	Mark
18(c)(ii)	**Award mark as indicated.** $2 400 **(1)**	**(1)**

Type MS · Defining capital and revenue expenditure

Answer 7 of 11 · Question 18 part b · 4 marks

2024 JUN · Paper 01 (regional R) · extract 2 of 2 · find part b in this mark scheme extract

Question Number	Answer	Mark
18(d)	**Award marks for correct dates, details and amounts in combination.**	

Machinery - Provision for Depreciation Account

Date	Details	$	Date	Details	$
31 Dec 2022	Balance c/d	12 000	31 Dec 2022	Income statement / Depreciation charge	12 000 **(1)**
		12 000			12 000
31 Dec 2023	Balance c/d	21 600	1 Jan 2023	Balance b/d	12 000 **(1)**
			31 Dec 2023	Income statement / Depreciation charge	9 600 **(1)**
		21 600			21 600
			1 Jan 2024	Balance b/d	21 600 **(2/1of)**

(5)

Question Number	Answer	Mark
18(e)	**Award up to two marks for a valid reason.** **Sample answer** As the business will benefit from using the non-current assets over several years it needs to match the benefit **(1)** with the cost of using the asset in the income statement **(1).** **Accept any other appropriate responses.**	**(2)**

TOTAL FOR QUESTION 18 = 15 MARKS

Type MS · Defining capital and revenue expenditure

Answer 8 of 11 · Question 17 part a.i · 2 marks

2025 NOV · Paper 01 · extract 1 of 2 · find part a.i in this mark scheme extract

17(a)(i)	**Award 1 mark for identification and 1 mark for linked development.** The purchase or improvement of a **non-current asset (1)** with the benefit expected to last **more than one year** / appears on the **statement of financial position (1).**	**(2)**

Question Number	Answer	Mark
17(a)(ii)	**Award 1 mark for identification and 1 mark for linked development.** The **day-to-day running costs** of the business **(1)** with the benefit expected to last **less than one year** / appears on the **income statement (1).**	**(2)**

Question Number	Answer	Mark
17(b)(i)	**Award mark as indicated.** $46 400 **(1)**	**(1)**

Question Number	Answer	Mark
17(b)(ii)	**Award mark as indicated.** $2 300 **(1)**	**(1)**

Question Number	Answer	Mark
17(b)(iii)	**Award mark as indicated.** Overstated: Understated: No effect: ✓ **(1)**	**(1)**

Type MS · Defining capital and revenue expenditure

Answer 8 of 11 · Question 17 part a.i · 2 marks

2025 NOV · Paper 01 · extract 2 of 2 · find part a.i in this mark scheme extract

Question Number	Answer	Mark
17(c)(i)	**Award mark as indicated.** $23 360 **(1)**	**(1)**

Question Number	Answer	Mark
17(c)(ii)	**Award marks for correct details and amounts in combination.**	**(7)**

Disposal Account

Date	Details	$	Date	Details	$
2024 Aug 1	Machinery cost	36 500 (1)	2024 Aug 1	Machinery provision for depreciation	13 140 (2/1of)
2025 Jun 30	Income statement	1 240 (2/1of)		Cash book /Bank	8 200 (1)
				(Gerhardt) loan	16 400 (1)
		37 740			37 740

TOTAL FOR QUESTION 17 = 15 MARKS

Type MS · Defining capital and revenue expenditure

Answer 9 of 11 · Question 18 part b · 5 marks

2021 NOV · Paper 01 · extract 1 of 2 · find part b in this mark scheme extract

18(a)	**Award marks as indicated** |	Revenue expenditure	Capital expenditure | |---|---|---| | Machine delivery | | ✓ **(1)** | | Machine installation | | ✓ **(1)** | | Machine operatives' wages | ✓ **(1)** | |	**(3)**

Question number	Answer	Mark
18(b)	**Award up to 4 marks for explanation and 1 mark for conclusion.** **Sample answer** Revenue expenditure is day to day expenses **(1)** and is written off against profit in the year incurred **(1)**. Capital expenditure is expenditure on non-current assets **(1)** and appears in the statement of financial position **(1)**. It is important to distinguish between capital expenditure and revenue expenditure as failure to do so would result in incorrect profits being declared **(1)** **Accept any other appropriate responses.**	**(5)**

number	Answer	Mark
18(c)	**Award mark as indicated.** $4 200 **(1)**	**(1)**

Question number	Answer	Mark
18(d)	**Award marks as indicated.** $5400 **(2) W** **W** $23 400 **(1)** - $18 000 = $5 400 **(1of)**	**(2)**

Type MS · Defining capital and revenue expenditure

Answer 9 of 11 · Question 18 part b · 5 marks

2021 NOV · Paper 01 · extract 2 of 2 · find part b in this mark scheme extract

Question number	Answer	Mark
18(e)	**Award marks for correct date, details and amounts in combination.**	**(4)**

Machinery – Provision for Depreciation Account

Date	Details	$	Date	Details	$
2020 Jan 1	Disposal account	2 600 **(1)**	2019 Apr 1	Balance b/d	4 200 **(1of)**
Mar 31	Balance c/d	3 040	2020 Mar 31	Income statement	1 440 **(1)**
		5 640			5 640
			Apr 1	Balance b/d	3 040 **(1of)**

TOTAL FOR QUESTION 18 = 15 MARKS

Type MS · Defining capital and revenue expenditure

Answer 10 of 11 · Question 18 part c.ii · 3 marks

2023 NOV · Paper 01 · extract 1 of 2 · find part c.ii in this mark scheme extract

Number		
18(a)	**Award up to 2 marks.** Depreciation is an estimate of the loss in value of a non-current asset **(1)** which should be matched against the revenue generated **(1)** **Accept any other appropriate responses.**	**(2)**

Question Number	Answer	Mark
18(b)	**Award one mark for correct figures as indicated.** **Award one mark for all correct dates and details.**	**(9)**

Motor Vehicles - Cost Account

Date	Details	$	Date	Details	$
Jan 1	Balance b/d	76 600 **(1)**	Mar 1	Disposal	18 000 **(1)**
Jun 1	Cash book / bank	21 500 **(1)**	Dec 31	Balance c/d	80 100
		98 100			98 100
Jan 1	Balance b/d	80 100 **(1)**			

Disposal Account

Date	Details	$	Date	Details	$
Mar 1	Motor vehicles – (cost)	18 000 **(1)**	Mar 1	(Motor vehicles) – provision for depreciation	7 875 **(1)**
Dec 31	Income statement	1 875 **(1of)**		Cash book/ bank	12 000 **(1)**
		19 875			19 875

Type MS · Defining capital and revenue expenditure

Answer 10 of 11 · Question 18 part c.ii · 3 marks

2023 NOV · Paper 01 · extract 2 of 2 · find part c.ii in this mark scheme extract

Question Number	Answer	Mark
18(c)(i)	**Award mark as indicated.** Overstated | Understated | No effect | (✓)(1)	**(1)**

Question Number	Answer	Mark
18(c)(ii)	**Award up to 3 marks.** The purchase of a new motor vehicle will benefit the business for more than one year **(1)** If the purchase of a new motor vehicle is not treated as capital expenditure it would result in non-current assets being understated **(1)** and the profit for the year also being understated **(1).** **Accept any other appropriate responses.**	**(3)**

TOTAL FOR QUESTION 18 = 15 MARKS

Type MS · Defining capital and revenue expenditure

Answer 11 of 11 · Question 18 part a.iii · 2 marks

2024 NOV · Paper 01 · extract 1 of 2 · find part a.iii in this mark scheme extract

Number		
18 (a)(i)	**Award marks as indicated** $71 000 **(5) W** **W** 20 000 **(1)** 34 000 **(1)** 5 000 **(1)** 12 000 **(1)** 71 000 **(1)**	**(5)**

Question Number	Answer	Mark
(ii)	**Award marks as indicated** 19 500 **(3) W** **W** 4 500 **(1)** 15 000 **(1)** 19 500 **(1)**	**(3)**

Question Number	Answer	Mark
(iii)	**Award 1 mark for identification and one mark for development.** The cost will be treated as capital expenditure **(1)** as the improvement will generate profits over several years. **(1)** **Accept any other appropriate responses.**	**(2)**

Type MS · Defining capital and revenue expenditure

Answer 11 of 11 · Question 18 part a.iii · 2 marks

2024 NOV · Paper 01 · extract 2 of 2 · find part a.iii in this mark scheme extract

Question Number	Answer	Mark
(b)	**Award one mark for identification and one mark for development of two reasons why it is important up to a maximum of four marks and one mark for a conclusion.** **Sample answer** As the business benefits from using items classified as capital expenditure over several years it needs to match the benefit **(1)** of owning the asset with the cost of using the asset through the calculation of depreciation **(1)** Items of revenue expenditure are generally those expenses which occur on a day-to-day basis **(1)** and will need to be matched against the revenue of that period in compliance with the matching concept **(1)** If a business does not distinguish between capital expenditure and revenue expenditure, they will not be presenting a true and fair view of their business's situation **(1)** **Accept any other appropriate responses.**	**(5)**

TOTAL FOR QUESTION 18 = 15 MARKS